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Oilseeds and Products Update

Oilseeds and Products Update June 2013

Approved By:
Richard Todd Drennan
Prepared By:
M. Shafiq Ur Rehman

Report Highlights:
Cotton is Pakistan’s principal oilseed and sowing is lagging due to water shortages and a late wheat harvest. Oilseed imports are on a downward trend due to relatively higher prices compared to palm oil. During January - May 2013, Pakistan imported 266,269 metric tons (MT) of oilseeds, a 35 percent decrease from the same period in 2012. Meanwhile, palm oil imports for January- May 2013 increased 25 percent over the same period last year.

Post:
Islamabad

Author Defined:
Cotton Planting in Progress

Planting of the 2013-14 cotton crop is underway in both Punjab and Sindh, however, field reports reveal that the overall planting rate is 7-10 percent behind where it needs to be to meet the Government's target of 3.1 million hectares (ha). The reduction in planted area in Punjab and Sindh is mainly due to a prolonged winter that delayed the wheat harvest, and affected water availability in the core cotton growing belt. Water levels in the irrigation systems have suffered due to a reduction in river flows caused by a slower-than-usual glacier melt. To add to the water problem, farmers are unable to pump sufficient water from tube wells due to severe power shortages. Progressive farmers have also altered their planting decisions, shying away from cotton due to prevailing low prices and moving toward more profitable crops such as corn, rice, and sugarcane.

Oilseeds and Edible Oil Import Matrix

Oilseed imports are decreasing due to the relatively high prices of sunflower seed and rapeseed compared to declining palm oil prices in international markets. Consequently, edible oil imports, especially palm oil, are increasing as crushers find it uneconomical to crush imported sunflower and rapeseed to supply local vegetable oil markets. This can be illustrated by comparing 2012/13 and 2011/12 prices, which depict that while rapeseed prices remained stable at around $616/MT, palm oil prices decreased by 22 percent from $1,032 to $802 /MT. Pakistani rapeseed imports during the period January - May 2013 were 266,269 tons or 35 percent lower than imports from the same period last year, whereas palm oil imports increased 25 percent to 922,804 MT.

Table 1: Oilseed import Statistics
(Figures in Metric Tons)

Product	CY-2011	CY-2012	Jan- May 2012	Jan- May 2013
Rapeseed/canola	736,539	713, 828	397,030	266,269
Sunflower	186,208	10,572	10,570	0
Soybean	10	0	0	0
Total	**922,757**	**724,400**	**407,600**	**266,269**

Source: Ministry of Commerce (MOC), Government of Pakistan and FAS Islamabad

Table 2 provides edible oil import statistics for the last three years along with imports made during January - May 2013, and Table 3 gives monthly details.

Table 2: Edible Oil import Statistics (Year Wise)

(Figures in Metric Tons)

Product	CY-2011	CY 2012	Jan-May 2012	Jan-May 2013
Palm Olien	970,747	752,603	255,586	349,083
RBDPO	263,443	749,513	296,383	349,639
CPO	749,000	428,352	185,434	198,418
CDSBO	51,200	40,500	0	25,664
Total	**2,034,390**	**1,970,968**	**737,413**	**922,804**

Source: Ministry of Commerce (MOC), Government of Pakistan and FAS Islamabad

Table 3: Edible Oil import Statistics Jan-May 2013

(Figures in Metric Tons)

MONTH	OLIEN	RBDPO	CPO	CSDBO	TOTAL
January	106,876	64,950	65,998	2,040	239,864
February	75,647	79,078	51,590	1,980	208,295
March	67,477	148,367	62,831	0	278,675
April	37,499	17,500	14,999	11,644	81,642
May	61,584	39,744	3,000	10,000	114,328
TOTAL	**349,083**	**349,639**	**198,418**	**25,664**	**922,804**

Source: Ministry of Commerce (MOC), Government of Pakistan and FAS Islamabad

RBDPO: Refined Bleached Deodorized Palm oil

CPO: Crude Palm Oil

CDSBO: Crude Deodorized Soybean Oil